

Ref. № AD-A-049-62/AZ-22

AUDIT REPORT

of independent audit company
“R.O.S.EXPERTIZA” LLC on
accounting (financial) statements of
“Surgutneftegas” PJSC for 2022

To shareholders of “Surgutneftegas” Public Joint Stock Company

AUDIT REPORT

Opinion

We have audited the accompanying annual accounting (financial) statements of “Surgutneftegas” Public Joint Stock Company (hereinafter – the Company) (State Registration Number: 1028600584540, ul.Grigoriya Kukuyevitskogo, 1, bld. 1, Surgut, Khanty-Mansiysky Autonomous Okrug – Yugra, Russian Federation, 628415) consisting of the Balance Sheet as of December 31, 2022, Income Statement for 2022, appendices to the Balance Sheet and Income Statement, including Statement of Changes in Equity for 2022, Cash Flow Statement for 2022, Notes to the Balance Sheet and Income Statement for 2022, including general provisions of the accounting policy.

In our opinion, the accompanying annual accounting (financial) statements give a true and fair view in all material respects of “Surgutneftegas” Public Joint Stock Company financial standing as of December 31, 2022, the results of the Company’s financial activity, and the cash flows for 2022 in accordance with the rules for preparation of accounting (financial) statements established in the Russian Federation.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISA). Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the Annual Accounting (Financial) Statements section of this report. We are independent of the audited entity in accordance with Auditors and Audit Organizations Independence Regulations and Code of Professional Ethics of Auditors compliant with Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Professional Accountants, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the annual accounting (financial) statements for the current period. These matters were addressed in the context of our audit of the annual accounting (financial) statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Accounting for Financial Investments

Accounting for long-term and short-term financial investments is material to our audit because their book value is material to the annual accounting (financial) statements of the Company.

Our procedures were focused on confirmation of the book value of financial investments recorded in annual accounting (financial) statements of the Company based on the analysis of deposit and other agreements. We have verified formation of the book value of deposits and loans granted, their classification by breakdown into long-term and short-term assets, carried out impairment tests and verified disclosures in Notes.

Note 3.5 and information in tables 3.1, 3.2 of the Notes to the Balance Sheet and the Income statement (table form) contain information on the amounts of financial investments according to their types recorded in annual accounting (financial) statements of the Company.

The first application of new accounting standards of fixed assets and lease

Starting from the annual accounting (financial) statements for 2022, the Company has been applying new accounting standards FSBU 6/2020, FSBU 26/2020 and FSBU 25/2018. The resulting changes in the accounting policy are significant and are recorded in the statements. These accounting standards contain a great number of estimated categories based on professional judgement of the Company's management.

In the course of our audit we studied the amendments into the accounting policy for 2022 including the chosen method of recognizing the consequences of the amendments into the accounting policy, examined the documents and materials related to transferring to new accounting standards.

Our procedures included the accurateness analysis of fixed assets classification, evaluation of depreciation items based on the current projected plans and subject to accounting estimates and assumptions of the Company's management. Also, we studied the issues of recognizing the objects of accounting under lease agreements. We checked the accounting records and calculations for mistakes and for the compliance of algorithms with the requirements of the legislation and the accounting policy.

We evaluated the creating of the main indicators of the Company's accounting (financial) statements as of 31.12.2022 subject to the new requirements as well as disclosures in the statements including disclosures of the accounting policy.

Note 3.4 and information in tables 2.1, 2.2, 2.3, 2.4 of the Notes to the Balance Sheet and the Income statement (table form) contain information on availability of fixed assets and capital investments, their flow, and section 2 of the text part of the Notes include information on the amendments made to the annual accounting (financial) statements of the Company.

Assessment of fixed assets impairment

Starting from 2022 the Company has been testing fixed assets for impairment. This is the key matter because according to IAS 36 assessment of impairment is a complex issue and is applied for RAS accounting purposes for the first time. It includes professional judgement by the Company's management, and the macroeconomic parameters which are fundamental for the impairment model have a substantial uncertainty factor.

The Company's management has developed the methodology for impairment testing including the impairment model with the list of cash-generating units, corporate operating and nonoperating assets/liabilities, assets impairment testing algorithms. Also the macroeconomic fundamentals used for estimations have been determined. The applied value in use indicator was calculated based on income approach.

As follows from the analysis for the impairment of fixed assets, the impairment and loss from impairment were recognized in the Balance Sheet as of 31.12.2022 and Income Statement for 2022 in the amount of RUB 508 514 149 thousand and RUB 358 098 582 thousand respectively.

As the model applied in the impairment methodology is to a significant degree sensitive to the changes of the main assumptions including macroparameters it is reasonable to assume that their actual values deviation in the future may thereafter result both in losses from impairment and profit from reversal of the previously recognized impairment.

Our audit procedures included the accurateness and validity analysis of the methodology for impairment testing, appropriateness assessment of the main assumptions as compared with the available sector and financial data, review of potential impact of possible variance of the main assumptions. Our opinion on the validity of impairment methodology was made subject to the opinions of our assessment experts.

Other information

The management is responsible for other information. The other information represents the annual report, which is expected to be available to us after the date of this auditor's report.

Our opinion on the annual accounting (financial) statements does not cover other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the annual accounting (financial) statements, our responsibility is to study other information and, in doing so, consider whether the other information is materially inconsistent with the annual accounting (financial) statements or our knowledge obtained in the audit and otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of such other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management and the members of the Board of Directors of the Audited Entity for the Annual Accounting (Financial) Statements

The management is responsible for the preparation of these annual accounting (financial) statements that give a true and fair view in accordance with the rules for the preparation of accounting (financial) statements established in the Russian Federation and for such internal control as the management deems necessary for the preparation of annual accounting (financial) statements that are free from any material misstatement, whether due to fraud or error.

In preparing the annual accounting (financial) statements, the management is responsible for assessing the audited entity's ability to continue as a going concern, disclosing, as applicable, matters related to the going concern and using the going concern assumption basis of accounting unless the management either intends to liquidate the audited entity or to cease operations, or has no realistic alternative but to do so.

The members of the Board of Directors are responsible for the supervision over preparation of the annual accounting (financial) statements of the audited entity.

Auditor's Responsibilities for the Audit of the Annual Accounting (Financial) Statements

Our objectives are to obtain reasonable assurance of whether the annual accounting (financial) statements are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISA will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of the users taken on the basis of these annual accounting (financial) statements.

As part of the audit in accordance with ISA, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- a) identify and assess the risks of material misstatement of the annual accounting (financial) statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- б) obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the efficiency of the audited entity's internal control;
- в) evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates calculated by the management of the audited entity and related disclosures;
- г) conclude on the appropriateness of the use by the management of the audited entity of the going concern assumption and, based on the audit evidence obtained, whether a

material uncertainty exists related to events or conditions that may cast significant doubt on the audited entity's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the annual accounting (financial) statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the audited entity to cease to continue as a going concern;

- д) evaluate the overall presentation, structure and content of the annual accounting (financial) statements, including the disclosures, and whether the annual accounting (financial) statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate information to the members of the Board of Directors of an audited entity about, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the members of the Board of Directors of an audited entity with a statement that we have complied with all relevant ethical requirements regarding independence, and communicated to them about all relationships and other matters that may be reasonably thought to bear on the auditor's independence, and where applicable, related safeguards.

From the matters communicated to the members of the Board of Directors of the audited entity, we have determined those matters that were of most significance in the audit of the annual accounting (financial) statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure of the matters or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Kozlov Alexander Vasilyevich (PRNE 22006023186)

Director General of the Auditing organization

Chernyakov Vladimir Nikolaevich (PRNE 22006014930)

Audit Team Leader in audit following which the Audit Report was compiled

Auditing organization:

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"30" March 2023